
EDITION 1

JUNE 2026

INTERNATIONAL TRADE JOURNAL

ASHOKA SOCIETY FOR INTERNATIONAL TRADE AND FOREIGN POLICY



CONTENTS:

The Presidents' Foreword	3
Letter from the Editors	4
The Quest for Equilibrium: Rationale in Irrationality	5
<i>– Fuad Mohammed Agha</i>	
The Sahel Crisis and the Global Uranium Shift	9
<i>– Amartya Chakravorty</i>	
Exploring the phenomenon of Involution in the Chinese EV sector	12
<i>– Divij Sharma</i>	
The Mother of all Deals	17
<i>– Advaita Kartik Murthy</i>	
Shadows of the Sea	22
<i>– Amartya Chakravorty</i>	
References	25

The Presidents' Foreword:

International trade today operates within an increasingly volatile global order. The pandemic exposed the fragility of global supply chains; Russia's aggression in Ukraine and the ensuing Western retaliation unsettled energy and commodity markets; American cross-continental military interventions have further eroded the certainties that once governed international conduct; and the widening crisis in West Asia, compounded by the growing influence of non-state actors, has contributed to the suffocation of critical global chokepoints. The arteries of global commerce can no longer be presumed secure.

This volatility is no longer merely incidentally disruptive, it has acquired an increasingly adversarial character. Tariffs imposed by the Trump administration across much of the world reflect the growing use of commerce as an instrument of coercion. Trade policy no longer simply shapes markets, it constrains the sovereign space within which states chart their own economic and strategic priorities.

States, firms, and financial institutions have responded by turning inward while increasingly doubling down on trusted partners. For India, the world's most populous country, this is not an abstract geopolitical concern. As the world's fastest-growing major economies, our trajectory has remained deeply intertwined with global commerce since economic liberalisation in the 1990s. The resilience of supply chains, the durability of partnerships, and the security of maritime corridors bear directly upon 1.4 billion futures. Furthermore, as a leading voice of the Global South, India must continue to forge and strengthen deeper partnerships among middle powers and rising states.

At the Ashoka Society for International Trade and Foreign Policy, we seek to engage with this changing world through two complementary lenses. Through our Geopolitical Advisory Wing, we help firms and organisations navigate volatility, better identify markets for expansion, and pursue growth with greater foresight and preparedness. Through the International Trade Journal, our analysts explore not only the crises that dominate headlines, but also developments of sustained consequence that risk being obscured by them.

Together, these efforts represent an attempt to interpret a world in flux and understand how global commerce might be better secured within it. We hope this inaugural edition of the International Trade Journal serves as a meaningful contribution to that endeavour.

Krrish Goel & Saima Mehta,
Presidents (2025-26),
The Ashoka Society for International Trade & Foreign Policy



Letter from the Editors:

As editors of the inaugural edition of the International Trade Journal, it is our privilege to present a publication born from a simple conviction: that meaningful engagement with global affairs requires both curiosity and rigour.

The contemporary international landscape is increasingly characterized by uncertainty. Trade routes are being redrawn, economic partnerships are being reconsidered, and geopolitical developments now reverberate through markets with unprecedented speed. In such an environment, understanding international trade demands more than an awareness of current events, it requires sustained analysis, historical perspective, and a willingness to grapple with complexity.

This journal seeks to contribute to that effort. The articles featured in this edition examine a diverse range of issues shaping the global economy and international order, from emerging trade dynamics and strategic competition to regional developments and policy challenges. While the subjects vary, they are united by a common objective: to move beyond headlines and provide thoughtful, research-driven perspectives on issues of lasting significance.

As a student-led publication, the International Trade Journal also reflects the intellectual curiosity of its contributors. It serves as a platform for young researchers and analysts to engage with questions that increasingly influence businesses, governments, and societies alike. In doing so, we hope to foster a culture of inquiry that recognises the growing intersection of economics, trade, finance, and foreign policy.

This inaugural edition would not have been possible without the dedication of our analysts, writers, and editorial team, whose commitment to producing thoughtful and well-researched work has shaped every page that follows.

We hope this journal encourages readers to think more critically about the forces shaping our world and inspires further discussion on the opportunities and challenges that lie ahead.

Mannya Narula & Shakya Khatri
Editors (2025-26),
International Trade Journal



The Quest for Equilibrium: Rationale in Irrationality

—*Fuad Mohammed Agha*

Following President Donald Trump's presidential victory in 2024, his foreign policy has proven to seem erratic to observers and analysts. Whether it be threatening to annex Canada and make it the 51st state of the United States, threats to annex Greenland, threats to limit or end support to Ukraine, or the trade war initiated by the Trump administration, it appears as irrational behaviour. Alienating and threatening close allies worsens their relations and threatens the World Order. During times of uncertainty in the international political system, could some semblance of rationality be found?

In the international system, it is believed that the world is anarchical and that every state is a rational actor acting in its best interest. A state could, acting based on interests that need to be met, issue certain demands on other states or non-state actors. Such demands could be initiated through diplomacy and mutual agreements or through threats, which could include subterfuge.

It must be noted that here 'threats' are typically verbal, and not always armed.

An actor could choose to either issue a threat or not. When a threat is not issued, the status quo between the states is maintained. In an ideal world, with rational actors, no unnecessary threat should be issued in the first place because issuing an unnecessary threat usually ends in the threatening-state not gaining much of a benefit because they would have to face consequences for deviating from international norms and rational behaviour.

Further, issuing threats disturb economies, as investors and stakeholders become anxious due to newfound volatility in the market.

To understand the following sequence, let us say that red refers to a state that issues a threat and blue refers to the state that is being threatened.

If the red state decides to issue a threat, the blue state is put into a dilemma, and can make either of the two decisions: to succumb to the threat or to ignore the threat, resulting in an escalation. If the blue state chooses the former, then the

red state, which issued the threat, is benefitted and is victorious in achieving its goal. On the other hand, if it chooses the latter, it escalates just by ignoring the verbal threat. Thus, the red state has to make a decision in response to the escalation and has two options: to punish the blue state for indirectly escalating or retreating by ignoring the escalation. Once a threat has been issued, it is up to the blue state to assess the credibility of the threat.

Typically, one might assume that when a threat seems absurd, it is unlikely to be credible. Paradoxically, however, it is the irrationality of the threat that gives it credibility. This paradox becomes integral to the theory. In addition to its typically hegemonic status, if the red state is perceived to be truly mad, the blue state may succumb, as it is difficult to predict whether the red state will actually act on its threat.



Donald J. Trump, the 45th and 47th president of the United States of America

The blue state's best-case scenario is that the red state is simply employing a tactic of erratic nature to intimidate the blue state into coercion, in which case the blue state must recognise the threat as an act of intimidation without substantial plausibility and ignore the bluff.

Its worst-case scenario, on the other hand, would be if it assesses the threat incorrectly and ignores the

threat, resulting in an escalation, in which the aggressor-state actually acts upon its threat and punishes the blue state for escalating. In most cases, however, the state that issues the threat is not likely to actually follow through with its threat because the actor isn't actually

rogue; they're simply pretending for the purpose of increased leverage to bargain. The threat is issued to project madness that attempts to intimidate the victim-state into succumbing to the threatening-state's demands. This is merely an imposture where a rational actor is acting irrationally. They cannot typically bear the consequences for the strategic aberration that they have made.

The worst form of punishment that the red state could employ, in the case of an escalation, is the nuclear route. But in the age of Mutually Assured Destruction and the cataclysmic nature of a nuclear strike, the aggressor-state would also likely recognise its consequences and use its nuclear armada merely as a form of deterrence or a negotiating tool, as is the case with the madman theory.

To assess a threat's credibility, there are two aspects of strategic behaviour that could help: Understanding whether the state's use of erratic behaviour is dispositional or situational.

If an actor's use of the madman theory is dispositional, it decreases the credibility of the threat. Madness is no longer volatile if its nature is dispositional because other actors would've understood the

rogue state always pursues grand, erratic goals. This makes assessing the threat easier and increases other states' ability to navigate dealing with the rogue state. The actor may truly be irrational, rather than being a rational actor playing irrational. On the other hand, if its use is situational, it enables real volatility and makes assessing the threat even more difficult. Therefore, to effectively execute the madman theory, in most cases, situational implementation may be a more plausible use of the theory.

Trump's use of the madman theory places greater emphasis on being tactical and perhaps lacking in grand strategy. Clearly, it is difficult to predict what he might do in the future, so it is difficult to discern what his grand strategy might be. But from what we have seen thus far, it does seem compelling to assume that, at the very least, his grand strategy is bizarre if not lacking, based on the way the US has been dealing with other states, particularly allies. Beyond just Trump, the administration itself may also suffer from a poor assessment of its grand strategy, as is made evident by the likes of Secretary of War (former Secretary of Defence), Pete Hegseth, who has

consistently advocated for a doctrine of increased lethality without proper considerations for grand strategy.

In the case of trade, the madman theory can be applied to tariffs as well. When a state's producer produces a certain good and seeks to export it to another state's market, the importing state may tax the imported good in order to maintain their indigenous producers' competitive edge. This taxation is known as a tariff. If both states place tariffs on each other, their trade is limited and consumer goods' prices increase, as opposed to when they are able to import certain goods from each other for a cheaper price. Therefore, to avoid such inflation, countries maintain trade relations and engage in free trade and maintain a status quo. If, for some reason, one state seeks to coerce their trading partner into something, the state may disrupt the status quo, and issue a threat to place or raise tariffs on its trading partner unless it accepts the threatening state's demands. In such a scenario, the threatened state's exports would potentially take a hit and hurt its economy, and therefore, the state may either choose to take the hit or accept the demands. Such a scenario was visible with Trump's recent imposition of a 50% tariff on Indian goods, which may be seen as an example of erratic coercive

behaviour. Though India is seen as an ally, India's continued trade with Russia following Russia's invasion of Ukraine is not taken kindly by the US, and they seek to minimize India's trade with Russia by punishing India with tariffs. Trump also seeks to extend America's agricultural and dairy industry's products to the Indian market, which India is hesitant of accepting due to impacts this may have on its large agricultural sector. Both states seek to protect their own markets, and in doing so, have strained their relationship. With greater cost sensitivity, India is left with little scope for choice. Negotiations seem to be taking place and other trade agreements are being made between both countries, but the tariffs persist, as of the writing of this article.

To conclude, if used in a situational manner, with a larger strategy in mind, based on calculations of other circumstances, the madman theory could be a credible negotiating tool in some instances. Without these factors, however, the theory runs into increased scrutiny. The lines between acting irrationally as a rational actor and actually being an irrational actor become blurry, but that is what threatened-states must decipher in order to navigate the international system.

The Sahel Crisis and the Global Uranium Shift

—*Amartya Chakravorty*

On the 9th of November 2022, the French military base in Bamako shut its doors, ending a decade-long counterterrorism presence across the Sahel. This marked the decline of France's influence in a region increasingly shaped by military juntas and shifting alliances.

Following the end of Operation Barkhane against Islamist militants, France quickly withdrew its forces from Central Africa. Driven by pressure from newly installed military juntas in the region, France was left with no choice. This region comprising Mali, Burkina Faso, Niger and Chad, is called the Sahel. A series of coups between 2021 and 2025 earned this region its infamous name; The African Coup belt. Ideologically, the military juntas oppose France's continued neo-colonial presence in the region, and support an alignment with Russia and China.

The uranium rich country of Niger was the backbone of France's energy security. While its EU peers like Germany were phasing out nuclear energy, France expanded it, and now nearly 70% of its electricity supply comes from nuclear energy.

Despite being France's second largest supplier of uranium, providing 20% of the country's needs, Niger lacked full rights over its own resources. Decades of pro-France governments, allowed French owned firms to extract the African nation's uranium. This arrangement was suspended as the Nigerien junta led by General Abdourahmane Tchiani nationalized the local subsidiary of France's state owned Orano corporation, Somair. For the French, the consequences of this are massive. Unlike its other suppliers, Kazakhstan and Canada, France controlled the entire uranium supply chain in Niger. Paris owned the mines, the supply lines as well as the processing plants and the powerplants.

For France's nuclear expansion, this means trouble. On December 1st 2025, the Nigerien President announced the liberalization of the country's uranium market; allowing the country's uranium reserves to be freely sold on the international



market. Moreover, after the , China, US and Canada into a market which once was exclusively for French capital. The instability in the market post coup as well as supply issues in other major producers, such as Kazakhstan caused uranium prices to reach an all time high of over \$100/pound in Jan 2024. Furthermore, global demand for uranium keeps shooting up, partly due to increased energy needs for an AI age. By 2035, global uranium demand is expected to hit 200 million pounds, however, supply is expected to fall short by approximately 114 million pounds. Niger's ability to meet demand is also in question. Sanctions applied by the Economic Community of West African States (ECOWAS) have resulted in the closure of the Benin-Niger border, shutting off Niger's ability to export through Benin's Cotonou port. This has forced the country to export lesser quantities of uranium through riskier routes which often pass through Islamic State controlled territories in

western Niger and Burkina Faso, to reach ports in Togo. While France is at a direct loss, the rest of the world can, in theory, benefit from the Nigerien Junta's trade policy. The floating of existing reserves on the free market is an indication that the regime genuinely wants to engage with the rest of the world. However, the deepening cooperation between Niger and Russia, raises concern about France's once privileged position being replaced by Russia. Nevertheless, the junta does show interest in diversifying trading partners, by granting mining rights in a new mine in Dasa to the Canadian firm- Global Atomic Energy.

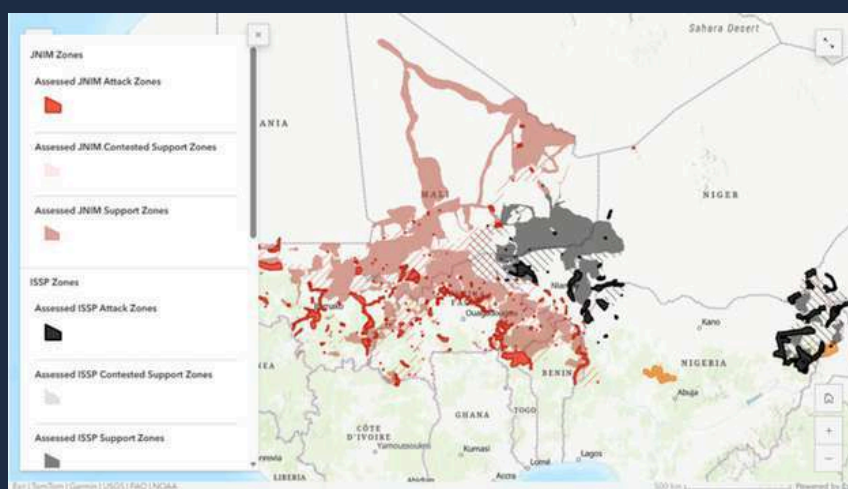
What the world has to fear is the growing instability in Niger and the Sahel. After the withdrawal of French troops, Niger has relied increasingly on Russian mercenaries like PMC-Wagner and its own armed forces for counterinsurgency.



President of Burkina Faso, Ibrahim Traore, who came to power through a coup in 2022



Uranium Prices crossing \$100/pound in 2024
<https://tradingeconomics.com/commodity/uranium>

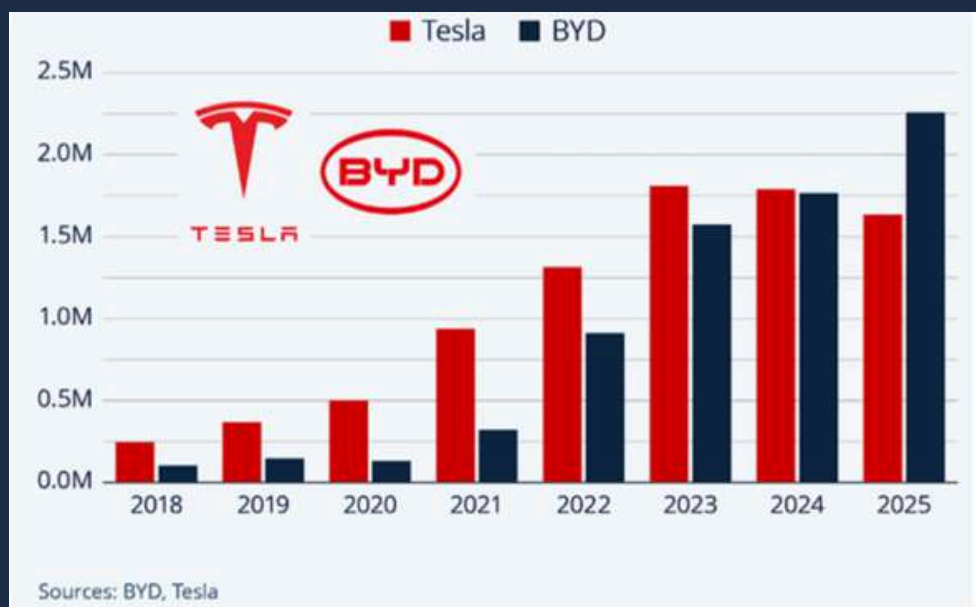


Salafi-Jihadi Areas of Operation in West Africa as of November 2025
<https://www.criticalthreats.org/analysis/salafi-jihadi-areas-of-operation-in-west-africa-interactive-map-and-campaign-analysis>

Similar to other nations in the Sahel region such as Burkina Faso after its coup, Niger experienced an increase in terrorist attacks, particularly from ISIS. This not only endangers the supply chain of uranium, it makes one fear a hypothetical scenario wherein ISIS has control over nuclear material.

Exploring the phenomenon of Involution in the Chinese EV sector

– Divij Sharma



Annual Sales of BYD and Tesla

As the 15th Five-Year Plan of the People's Republic of China unveils the initiatives for the future of socioeconomic development in the country has been adopted by the Central Committee and awaits legislative approval, the pillars of the agenda are more or less set in stone. Over the 5000 word document published in the aftermath of the 4th Plenum, or meeting, of the CCP Central Committee, important issues have been recognized and promises for their resolution have been made.

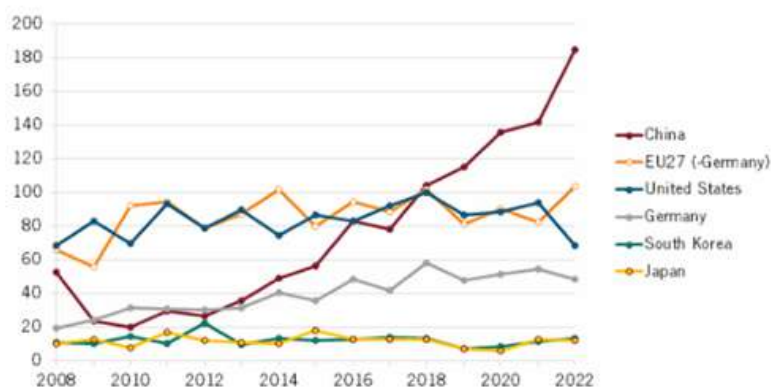
Some of these include AI, competition with the US, concerns surrounding birthrates, among others. One issue in particular concerning the “New Energy Vehicle” (NEV) industry is that of involution - or ‘neijuan’- a term in mandarin referring to self-defeating, stagnation-driving competition where a glut of firms cut prices into oblivion, driving down wages,

investments and ultimately economic activity. In order to understand Involution, we must understand the NEV industry at large. Exact details are hard to find and estimate, but a figure revealed by the government for the time period 2016-2020 stated that 1.59 trillion Yuan (\$230 billion) were poured into EV producing companies. Further data for 2021-22 revealed that subsidies comparatively favoured leading private players and new entrants (namely Tesla, BYD, Leapmotor) over state-owned firms- reflecting a policy push to diversify the market. (1) The outcomes, purely in terms of output and effectiveness, have been staggering. In the first half of 2025, 50.1% of all passenger car sales in China were EV's, the first time they outsold ICE (Internal Combustion Engines)- a feat only a handful of countries have been able to achieve. Beyond the domestic impact, Chinese "National Champions" have made their presence felt in international markets. Take Europe for example, BYD has been outselling Tesla since April 2025; and is currently in the process of building a 4 billion euro factory plant in Hungary. Chinese prices, even after accounting for anti-dumping tariffs, are just too hard to compete with- the Dolphin Surf (the real volume driver in BYD's EU market)

starts at roughly 20,000 euros. In contrast, the Tesla Model 3 starts at 36k Euros, and the Volkswagen ID3 starts at 29k euros. The only reason this gargantuan market share has not been achieved in the US is almost definitely because of a 100% tariff rate on all Chinese EV's to make up for the cost (and subsequently price) discrepancies between Chinese and American manufacturers. With regards to innovation, Chinese research by firms like CATL has led to cheaper LFP batteries, earlier written off as obsolete, eclipsing the American favoured cobalt/nickel based batteries. In a similar vein, China now produces more highly-cited scientific research papers on EVs than the US and Germany combined, and has been making inroads in terms of patents publications too. (2)

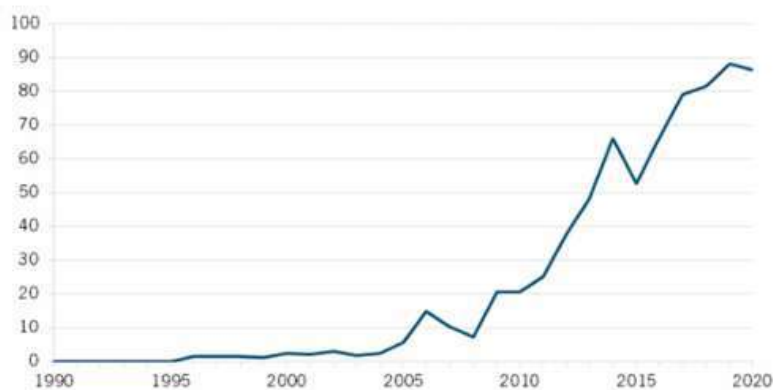
The system however is not without its flaws. Involution is both an active policy issue as well as a symptom of deeper, structural problems of the financial and industrial practices of the PRC. Involution within the NEV industry is neither monocausal nor caused purely by factors endogenous to NEV policy. One of the bigger contributors would likely be the property sector slump- a crisis which deeply affected the sector where

Figure 10: Number of automotive engineering publications in top 10 percent of most-cited publications



The number of Chinese scientific publications regarding EV research (relative to trillions of GDP) began to significantly accelerate around 2011, increasing from 25 papers then to 86 by 2020. (See figure 11.)

Figure 11: Number of EV scientific publications in China (per trillion \$ GDP)



most Chinese consumers parked their savings, and also exposed flaws within Local Government dependence on land sales for finances, which in turn triggered downward pressures on prices as consumption started stagnating, thereby putting pressure on domestic firms to deal with their “overcapacity” by exporting to make up for the drop in domestic demands. Couple this with the subsidy driven horde of competitors, and the issue of involution makes

itself known. Indeed, the production side of the coin has its own structural quirks, driven by generous subsidies and broad based loans from a financial sector aimed at acting in tandem with national interests rather than profit motives, the industrial policy reliant model of production results in large amounts of lost output due to money being put into losing horses - some estimates put the “money wasted” at roughly \$370 billion.

(3). Nonetheless, the CCP has shown time and time again that it is willing to sacrifice some amount of efficiency and productivity if it means achieving total market dominance and strengthening Chinese geopolitical interests through the power of sheer output.

The problem arises due to this gargantuan amount of supply not seeing enough demand within the domestic economy. The impacts of this are twofold- foreign and domestic. Overcapacity prompts firms to make up for this discrepancy by exporting the excess product to nations which are then overwhelmed by cheap Chinese goods gutting a lot of native producers, a phenomenon that has come to be neologised as the “Second China Shock”. This paranoia boils over into souring relations between the PRC and other geopolitically important entities (ASEAN, for example), something which is, for obvious reasons, undesirable to a nation seeking to change the Western dominated global system of today. On a domestic level, the supply-demand mismatch prompts producers to engage in price wars with each other in order to get to the relatively small amount of consumer demand present. Now, an \$8,000 BYD seems

like an unequivocally good thing to most, but the second order effects here are that due to lower price signals, EV firms will cut on costs in the form of wages and future investment/expansion of the firm's operations. Other than EV's the sectors currently most affected by involution are steel and solar panels-again, heavily subsidized by the central government.

Policy discourse surrounding involution (and the broader issues of overproduction, overcapacity and weak consumer demand) typically concentrate around 2 different approaches-

1. Monetary/Fiscal/Directional- These include simply tweaking the amount of money put into, say consumer stimulus or development banks, issuing orders to firms incentivizing them to curb production/cool down on price changes, changing behaviour through regulatory codes.
2. Structural- These include changes in the fundamental workings of the Chinese economy, be it liberalizing the repressed financial sector, inducing an environment more enabling towards the private sector, and replacing large swathes of industrial policy with price-directed markets. While future policy is yet

to be laid out in detail, so far President Xi seems to be sticking with the former- an economic stimulus package of roughly 50 billion dollars, amendments to China's "Anti-unfair Competition Law", moral suasion, enforcing preexisting labour law, and cooperation with industrial associations to change firm behaviour on a peer to peer basis. To his credit, recent data suggests that industrial profits have rebounded and production has slumped, easing some of the deflationary pressures. (4) These changes are not as heavy-handed as the reforms introduced in 2015-16, when overinvestment in steel, cement and other commodity markets was responded to with heavy handed top down mandates

on a certain ceiling on how much a firm could produce. In both cases, the Xi administration has chosen to stick with the existing framework for industrial policy, corporate finance and international trade- ignoring calls for a structural rebalancing away from state driven industrial policy towards price-driven market allocation of resources, calls which will likely be ignored as long as the Chinese engine keeps chugging along at the resilient pace it has been in recent times. The PRC in its post-Mao days, albeit with a few hiccups, has consistently been able to balance reform with control - largely due to its ability to demonstrate self correction in the face of crisis. That ability is once again being put to the test, as the party talks of "Great Changes Unseen in a Century".

The Mother of all Deals

– *Advaita Kartik Murthy*

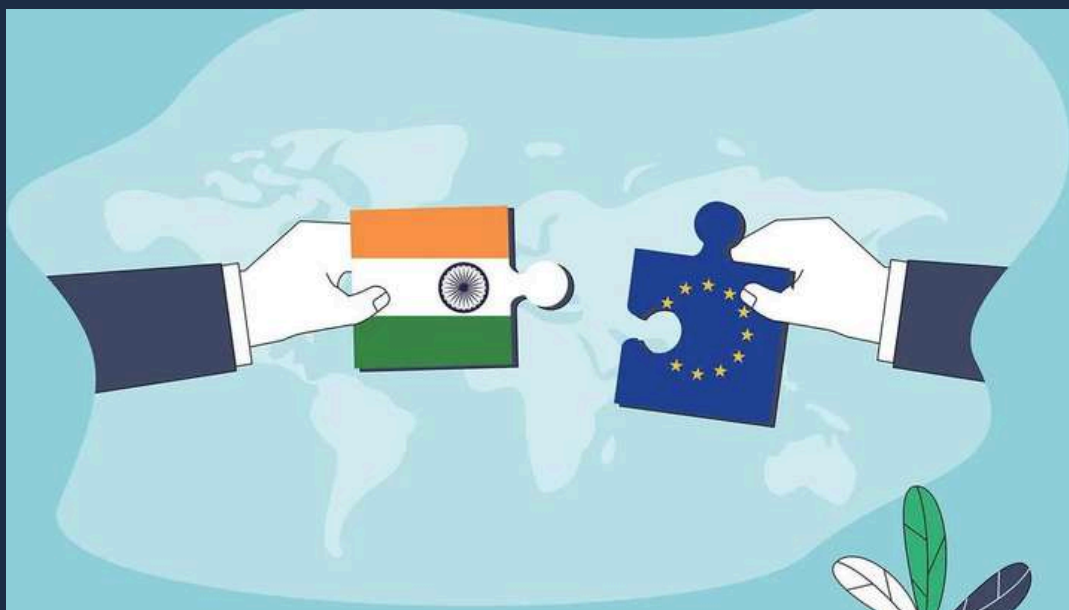
On 27 January 2026, negotiations for a Free Trade Agreement between India and the European Union concluded. At a time of rising protectionism and geopolitical fragmentation, this agreement marks a significant shift towards deeper economic cooperation.

Background

Discussions for an EU-India FTA began in June 2007 with the Broad-based Trade and Investment Agreement (BTIA) but was stalled

in 2013 due to significant differences in market access, tariffs and disagreements regarding service sectors, among others. Negotiations froze in 2013 and remained stagnant for nearly a decade before officially resuming in 2022 in view of the shift in the global trade environment. Separate negotiations for investment and geographical indications were launched alongside the FTA discussions. (ET Online, 2026).

Key Features of the FTA



The EU-India FTA is one of the world's most ambitious trade pacts, creating the world's largest free trade zone and will economically link 2 billion people and 25% of the world's GDP together (Feingold & Whiting, 2026)

India will eliminate or reduce tariffs on a massive 96.6% of EU exports while the EU will grant immediate zero-tariff access for labor-intensive Indian exports such as handicrafts, textiles, leather and footwear (Ministry of Commerce and Industry, 2026) .

For European exporters, this deal significantly reduces traditionally high Indian tariffs, especially in sectors such as automobiles (110% to 10% under quotas), machinery and chemicals (European Commission, 2026).

The FTA is predicted to improve labour-mobility for Indians in the EU, making it easier for Indian professionals to work across EU member states. Entry and work rights will be extended to service sector workers from India, enhancing access to these markets and pushing knowledge-based exports (Ministry of Commerce and Industry, 2026).

Benefits from the FTA

The agreement offers several important benefits for both parties (Ministry of Commerce and Industry, 2026). For the European Union, it provides access to 102 subsectors aligned with EU priorities, including professional, business, telecommunication, maritime, financial, and environmental services.

This expanded access ensures a more predictable environment for EU businesses, particularly in terms of investment and exports. Additionally, tariffs are eliminated on key sectors such as electrical equipment (44%), chemicals (22%), and pharmaceuticals (11%), significantly improving trade efficiency. The agreement also enables better and more privileged access for EU exports to India, the world's most populous country, with projections suggesting that EU exports could double by 2032 (European Commission, 2026).

Furthermore, the agreement strengthens the protection of EU intellectual property, including trademarks (European Commission, 2026), which is crucial for innovation-driven industries. EU firms are expected to save

approximately 4 billion euros annually in duties due to reduced trade barriers. There is also a substantial reduction in tariffs—initially above 36%—on key EU agri-food products such as wine, olive oil, and chocolates, making these goods more competitive in the Indian market (Ministry of Commerce and Industry, 2026). Additionally, the agreement advances EU economic interests by securing access to areas like dredging and maritime cable-laying services for the first time, thereby opening new avenues in specialized sectors (European Commission, 2026).

For India, the agreement presents significant advantages (Ministry of Commerce and Industry, 2026). It grants market access for more than 99% of India's export trade value while still preserving policy space for sensitive sectors. This balance allows India to expand its exports without compromising domestic priorities. The agreement also creates a predictable and relatively stable environment for Indian firms and MSMEs, enabling them to plan long-term investments and integrate more effectively into European value chains (Ministry of Commerce and Industry, 2026).

Indian exporters benefit from preferential access to the EU market

for agricultural products such as tea, coffee, spices, fresh fruits and vegetables, and processed food products, provided these goods meet the EU's stringent health and food safety standards (Ministry of Commerce and Industry, 2026). At the same time, safeguards are maintained for sensitive agricultural sectors, including dairy, cereals, and poultry, ensuring that domestic interests are protected. The introduction of self-certification through a Statement of Origin further simplifies export procedures, reducing both time and compliance costs and enhancing the ease of doing business (Ministry of Commerce and Industry, 2026).

In addition, India secures broader commitments across 144 service subsectors within the EU (Ministry of Commerce and Industry, 2026), strengthening its position in the global services market. The agreement also lays the groundwork for future cooperation, including a framework for social security agreements with all EU member states within five years. It further supports the mobility of Indian students by facilitating their entry into EU countries and providing opportunities for post-study work visas, thereby enhancing educational

and professional exchange (Ministry of Commerce and Industry, 2026).

Geopolitical Significance

Amid geopolitical tensions, where tariff tensions are at an 80-year high and current US and Chinese market pressures are increasing, EU and India are seeking to diversify their economic partnerships (ET Online, 2026).

For the EU, this FTA serves as a key opportunity to strengthen its presence in the Indo-Pacific region (Berden, 2026).

For India, it enables another engine for growth and global value chain integration. This FTA adds to the growing list of recently concluded agreements with the EFTA, UK, New Zealand and Oman (Berden, 2026). Additionally, it offsets relative losses for Indian businesses who lack adequate access in Asian markets, given India's absence as a partner in RCEP.

Challenges and Criticism

Despite its benefits, the agreement has raised concerns:

1.) One major criticism is that the Indian market may be disproportionately open to

EU-capital intensive goods while India continues to rely on exporting labour-intensive products, thereby widening structural imbalances in trade between the two parties (Press Trust of India, 2026). Additionally, concerns have been raised in view of strict non-tariff barriers such as stringent sanitary standards for agricultural exports that could widen this asymmetrical gap (Press Trust of India, 2026; Chandrasekhar, 2026).

2.) Indian domestic industries, particularly in manufacturing, can expect increased competition from technologically advanced European firms, potentially threatening local manufacturing before they can achieve global competitiveness (Chandrasekhar, 2026). An example of this is the massive reduction in tariffs for EU automobiles.

3.) The agreement doesn't exempt India from the EU's Carbon Border Adjustment Mechanism (CBAM), creating high compliance costs through carbon-related tariffs on imports from Indian emission-intensive industries such as steel and aluminum (ANI, 2026). However, this also presents an opportunity for Indian firms to transition toward

greener production processes with the EU's support, enhancing long term competitiveness in global markets (BCG, 2026).

Conclusion

The EU-India FTA represents a transformative step in bilateral and global trade. Despite its challenges, the agreement offers long term benefits for both sides. For India, the real opportunity lies in leveraging services and upgrading manufacturing capabilities, with the promise of integrating deeper into global value chains. The agreement secures access to a vast and growing market for the EU while simultaneously strengthening its geopolitical presence in Asia.

The success of the FTA will depend on effective implementation and the ability of both partners to work together to address the challenges. If managed well, this agreement could become a cornerstone of the modern global trade architecture.

Shadows of the Sea

—*Amaritya Chakravorty*

Towards the end of last year, the Iranian people took to the streets in one of the largest protests since the Revolution of 1979, which toppled the Monarchy. Fuelled by an acute economic crisis and mismanagement, over 5 million people across the country took to the streets. With open calls for dismantling Iran's highly authoritarian and theocratic regime, the Iranian people have had enough. The regime responded to the protests with extreme violence, massacring between twenty-three and thirty-five thousand people (HRANA 2026). Instrumental in the massacres were the Islamic Revolutionary Guard Corps, one of the two standing armies of Iran. While Iran has been sanctioned by the United States following the Tehran Hostage Crisis since 1979, it has been further sanctioned by the UN and the EU for its nuclear programme and the regime's support for militias across the Middle East, such as Hezbollah.

Despite these sanctions, Iran still exports oil to buyers in China, the UAE and Malaysia. The country formerly exported oil to India

(till 2019), South Korea and Assadist Syria. According to United Against Nuclear Iran, a bipartisan advocacy organisation based in the United States, China is currently the largest importer of Iranian crude, buying approximately 1.4 million barrels a day. UANI tracked a total of 48.3 million barrels in physical exports out of Iran in December 2025.

Tracking Shadows

Pivotal in sanctions busting is Iran's extensive "shadow-fleet" of oil tankers whose ties to Iran are concealed by frequently changing countries of registration, proxy ownership, disguised appearances, constant re-naming and technological spoofing. In 2025, UANI identified 83 vessels involved in the trade of sanctioned oil, increasing the shadow fleet's strength to 560 vessels. Around 17% of these vessels are registered in Panama, a 'flag of convenience' for shipowners around the world. The



recent seizure of M Sophia by the US Southern Command (USSOUTHCOM) as part of Operation Southern Spear, which led to the arrest of Venezuelan dictator Nicolas Maduro, allows us to analyse the operations of the shadow fleet. M Sophia, at the time of its capture, operated under no flag, and was described as a “stateless, sanctioned, dark fleet motor tanker”. Around 5 months prior to its capture, the ship flew a Panamanian flag. However, satellite evidence linking the vessel to Iran exists.

Iran-linked oil tankers make ship-to-ship (STS) transfers in international waters. This operation involves an Iran-linked tanker stopping at a particular point in the open sea, turning off its transponder, waiting for another Iran-linked tanker to come by, transferring its oil to the second ship, and then turning back. A typical export of Iranian oil involves multiple STS transfers. This game of pass-it-on is risky and accident-prone. A hotspot for STS transfers is the Riau Archipelago, offshore Malaysia.

On May 1 2025, satellite imagery spotted Natalina 7 transferring oil to M Sophia through an STS, off the Riau Archipelago in Malaysia This is

a shipment of Iranian oil being transferred, because Natalina 7 carried out an STS off the Riau Archipelago on the 28th of April from the tanker Thalia III, which is sanctioned by the USA, EU, Switzerland and Ukraine, for its involvement in the Russian and Iranian shadow fleet.

The Chinese Refiners

Responsible for one-fifth of the nation’s oil imports, small-scale, private oil refineries in China have been importing large quantities of Iranian crude. The small-scale and private nature of these firms allows the Chinese government to avoid international scrutiny over its import of sanctioned oil. Iranian oil is often sold to Chinese refiners at steep discounts. Its origins are concealed by rebranding as Iraqi, Omani or Russian crude.

It is estimated that these refiners have imported 1.4 million barrels of oil in the month of December alone.

The Shadow Army and the Shadow Fleet

In the largest Iran-related action since 2018, the US Treasury

identified and sanctioned over 50 individuals and 50 vessels involved in the vast shipping empire of Hossein Shamkhani, the son of Supreme Leader Ali Khamenei's Chief Political Advisor- Ali Shamkhani. Ali Shamkhani is a rear admiral in the IRGC and a veteran politician, serving as Minister of Revolutionary Guards,

Minister of Defence and Secretary of the Supreme National Security Council before his current position.

Ali Shamkhani is believed to have hardline positions on foreign policy and is in favour of Iran developing nuclear weapons. Apart from oil, the Shamkhani shipping empire has used its shadow fleet to transport drones and missiles used by Russia in its invasion of Ukraine.

The Islamic Revolutionary Guard Corps has muscled its way into a dominant position in Iran's oil industry since the 2010s. In 2013, the cash-strapped Iranian government began allotting oil, instead of cash, to IRGC commanders, who suppress dissent and preserve the regime's control.

Under IRGC management, the Iranian oil industry has experienced

higher output, but falling margins. While global oil prices declined in 2025, steep discounts (around 5 to 10%) and concessions to Chinese refiners have reduced oil revenues. Moreover, this revenue is not directly accessible by the Iranian government, and is often funnelled back into the IRGC and its proxies across the Middle East. Thus, the country's oil revenues seldom reach the people, especially in a time of acute economic crisis.

With increased pressure, both internal and external, the shadow fleet's future is uncertain. The war in Iran and the blockade of the strait of Hormuz has severely impacted the movement of Iranian ships and oil. With the ultimate goal of regime change in Iran looking less likely, I believe the shadow fleet will likely live on, shipping oil to willing nations like China. The more saddening fact is that the Iranian people will continue living under an oppressive regime, with their struggle for basic democratic rights overshadowed by a brutal war waged on them, with no access to the state's oil revenues for now.

References

1. The Perils of Lethality • Stimson Center. (2025, June 24). Stimson Center. https://www.stimson.org/2025/the-perils-of-lethality/#elementor-toc__heading-anchor-0
2. Boys, J. D. (2024). Henry Kissinger and the Madness at the Heart of US Grand Strategy. *Political Insight*, 15(1), 36–39. <https://doi.org/10.1177/20419058241238193>
3. Observer Research Foundation. (2026). Thomas Schelling and the golden age of American strategy. *Orfonline.org*. <https://www.orfonline.org/expert-speak/thomas-schelling-golden-age-american-strategy>
4. Charles, M. (2025, November 21). Interactive Map of Salafi-Jihadi Groups in West Africa. *ArcGIS StoryMaps*; Esri. <https://storymaps.arcgis.com/stories/05e4e0c6979a4f3a85170d43e6a5e703>
5. Huifeng, H. (2025, August 21). South China Morning Post. South China Morning Post. <https://www.scmp.com/economy/china-economy/article/3322666/china-reveals-past-ev-subsidies-tesla-state-giants-where-did-money-go>
6. Ezell, S. (2024, July 29). How Innovative Is China in the Electric Vehicle and Battery Industries? *Information Technology & Innovation Foundation*; *Information Technology & Innovation Foundation*. <https://itif.org/publications/2024/07/29/how-innovative-is-china-in-the-electric-vehicle-and-battery-industries/>
7. Gracia-Macia, D., Kothari, S., & Tao, Y. (2025, August 8). Industrial Policy in China: Quantification and Impact on Misallocation. *IMF*. <https://www.imf.org/en/publications/wp/issues/2025/08/07/industrial-policy-in-china-quantification-and-impact-on-misallocation-568888>

8. Chinese Industrial Profits Jump in August, Reversing Drop. (2025, September 27). Bloomberg.com; Bloomberg.
<https://www.bloomberg.com/news/articles/2025-09-27/chinese-industrial-profits-jump-in-august-reversing-declines>
9. Valdez Streaty, S. (2025, December 15). EV Market Monitor – November 2025 - Cox Automotive Inc. Cox Automotive Inc. <https://www.coxautoinc.com/insights-hub/ev-market-monitor-november-2025/>
10. ANI, A. (2026, January 21). India-EU FTA may face hurdles from non-tariff barriers like CBAM: Jefferies - The Tribune. The Tribune.
<https://www.tribuneindia.com/news/carbon-border-adjustment-mechanism/india-eu-fta-may-face-hurdles-from-non-tariff-barriers-like-cbam-jefferies>
11. India, the EU, and a New Era for Global Trade. (2026, February 19). BCG Global.
<https://www.bcg.com/publications/2026/india-the-eu-and-a-new-era-for-global-trade>
12. Berden, K. (2026, February). A new era in global trade: The EU–India Free Trade Agreement. European Centre for International Political Economy.
<https://ecipe.org/insights/eu-india-free-trade-agreement>
13. Chandrasekhar, C. P. (2026, February). The EU–India FTA is a net loss for India's future. Frontline. <https://frontline.thehindu.com/columns/india-eu-fta-2026-india-loses/article70570717.ece>
14. ET Online. (2026, January 20). India's billion-dollar trade deal may be the real show this Republic Day. The Economic Times.
<https://economictimes.indiatimes.com/news/economy/foreign-trade/india-eu-fta-big-billion-dollar-trade-deal-may-be-the-real-show-this-77th-republic-day/articleshow/126766551.cms>
15. European Commission. (2026). EU–India agreements.
https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/india/eu-india-agreements_en

16. European Commission. (2026). Factsheet — EU–India Free Trade Agreement: Main benefits. Directorate-General for Trade and Economic Security. https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/india/eu-india-agreements/factsheet-eu-india-free-trade-agreement-main-benefits_en.html
17. Feingold, S., & Whiting, K. (2026, February 4). Here's why the India–EU trade pact is the 'mother of all deals'. World Economic Forum. <https://www.weforum.org/stories/2026/02/india-eu-mother-of-all-trade-deals-what-to-know/>
18. Ministry of Commerce and Industry, Government of India. (2026, January 27). Factsheet on India–EU trade deal. <https://www.commerce.gov.in/wp-content/uploads/2026/01/Factsheet-on-India-EU-trade-deal-27.1.2026.pdf>
18. Press Trust of India. (2026, January 19). EU's non-tariff barriers blunt tariff cuts; FTA should address this: GTRI. Business Standard. https://www.business-standard.com/economy/news/eu-s-non-tariff-barriers-blunt-tariff-cuts-fta-should-address-this-gtri-126011900328_1.html
19. United Against Nuclear Iran. (n.d.). Iran tanker tracker. <https://www.unitedagainstnucleariran.com/tanker-tracker>
20. Saul, J., & Hafezi, P. (2024, December 18). Iran's Revolutionary Guards extend control over Tehran's oil exports, sources say. Reuters. <https://www.reuters.com/world/middle-east/irans-revolutionary-guards-extend-control-over-tehrans-oil-exports-sources-say-2024-12-18/>
21. Brown, C., & Shelley, J. (2026, January 12). Inside the ghost armada oil trade that led to the seizure of M SOPHIA and OLINA. United Against Nuclear Iran. <https://www.unitedagainstnucleariran.com/blog/inside-ghost-armada-oil-trade-led-to-seizure-of-m-sophia-and-olina>
22. Main Intelligence Directorate of Ukraine. (n.d.). War and sanctions. <https://war-sanctions.gur.gov.ua/en>

EDITION 1

JUNE 2026

INTERNATIONAL TRADE JOURNAL

ASHOKA SOCIETY FOR INTERNATIONAL TRADE AND FOREIGN POLICY

